

jor top of 1929 into periods of **33** and **20** years. A **54**-year period from 1949 to 2003 will be divided by the major low of 1982 into periods of **33** and **21** years. 3, 8, 21, 34 and 55, of course, are all Fibonacci numbers.

The Outlook for the Dollar

The falling value of the U.S. dollar since 1933 has reflected the expansion of credit that has fueled Supercycle wave (V). The coming contraction in credit will cause a rise in the value of all dollars that are not destroyed in the process. How will this happen? When a corporation's junk bonds are declared worthless, when a government's bonds drop in value, when a stock portfolio falls, when real estate becomes illiquid, dollar-based purchasing power is rapidly removed from the system. Classically, when the stock of any item is depleted, the value of the remaining supply rises. The *demand* for dollars will increase, as debtors facing insolvency will sell anything and everything, even strong assets, at fire sale prices to raise cash to keep from going bankrupt. At the same time, the *supply* of dollars will decrease, as creditors stressed by nonpayment from debtors and falling values for their own real assets will constrict their lending. This two-sided dynamic will be reinforced by creditors' demands for higher interest rates, which will accelerate the need for dollars on the part of debtors. Higher rates will also depress bond prices, causing a further shrinking of the money supply. These forces will propel higher the value of all dollars that are in a form that cannot face immediate or direct default, such as currency and perhaps Eurodollars issued by strong debtors. Dollar-based debt that is initially *believed* to be equally safe (such as Treasury bills and notes) may (but may not) rise in value concurrently for a time as part of a "flight to quality" until it, too, is perceived or understood to be too risky to hold.

A corollary of deflation, then, will be a *soaring value for the U.S. dollar*, contrary to virtually all current expectations. Today the persistently climbing Japanese yen appears as a complete mystery to currency watchers, but the reason for the rise is simply that the Japanese economy is deflating. It has been deflating since the start of 1990. Japan is the only major industrial country experiencing deflation, so their currency is climbing against all others. When the U.S. financial system begins to deflate, most countries around the world will join in the process, so currency trends will be far more chaotic than they are today. Traders will jump from one cur-